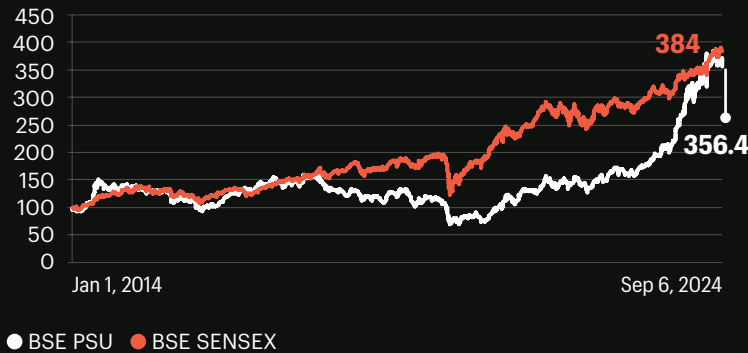


TOWARDS A BETTER FUTURE

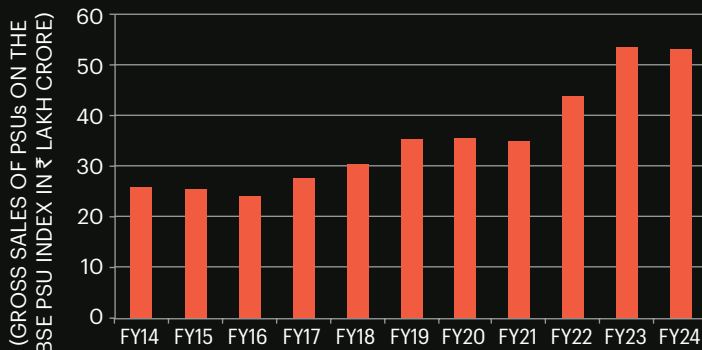
- The BSE PSU index has underperformed the BSE Sensex for several years before catching up in FY24



NOTE DATA HAS BEEN INDEXED TO 100 **SOURCE** ACE EQUITY

REVENUE ROSTER

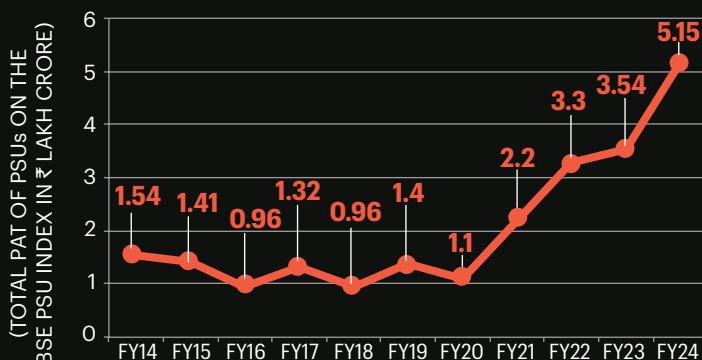
- The top line of listed PSUs has surged 105% since FY14
- The past three years have seen revenue growth pick up, signalling strong future growth



NOTE 58 COMPANIES THAT ARE PART OF THE BSE PSU INDEX AND FOR WHICH DATA IS AVAILABLE HAVE BEEN CONSIDERED **SOURCE** ACE EQUITY

SOARING PROFITS

- 58 PSUs in the BSE PSU index recorded a 45% growth in profit in FY24
- Cumulative profit of these firms has jumped 360% since the fall in FY20



NOTE 58 COMPANIES THAT ARE PART OF THE BSE PSU INDEX AND FOR WHICH DATA IS AVAILABLE HAVE BEEN CONSIDERED **SOURCE** ACE EQUITY

(PSBs) facing restrictions on growth due to the Reserve Bank of India (RBI) imposing prompt corrective action (PCA). RBI imposes PCA on banks showing signs of financial stress. As a result, PSBs witnessed a 14% compounded annual fall in earnings between FY15 and FY20, with a few of them reporting net losses.

Then, systemic reforms introduced by the government, its focus on domestic manufacturing, and high capex spending were aligned with the objective to increase the public sector's efficiency and productivity. Besides, the mitigation of several sector-specific bottlenecks and deadlocks also helped PSUs recover from losses. "In the case of PSBs, their balance sheets got cleaned up by FY21 and the banks improved their capital adequacy with the government infusing capital," says Invesco's Kothari. A pick-up in economic activity after Covid-19 helped "them to improve credit growth and recoveries of past bad assets helped strong growth in profitability as well", he adds.

Senior government officials and industry experts, however, note that this journey to profitability has been through a carefully planned strategy, and that the focus on ensuring that PSUs remain a major contributor to the economy will continue. "PSUs are amongst the profitable corporates in the country as of the 254 operating PSUs, 74% are profitable," says Atul Sobti, Director General of Standing Conference of Public Enterprises (SCOPE), which is the apex body of the country's public sector enterprises. He points out that PSUs registered gross revenue of ₹38 lakh crore for FY23, which is equivalent to the GDP of a country like Singapore. "They are wealth creators, which is reflected in the present market capitalisation of PSUs, wherein only 57 listed PSUs (which is only 1% of the total listed companies on the BSE) form more than 10% of the market cap on the BSE," he says.

According to him, PSUs have managed to reach this position because of efforts to adapt to the changing dynamics and meeting global benchmarks. "Their commercial success can be attributed